January 2022 Paper 02

Question 1

Jane studied Principles of Business while attending high school and was inspired to own and operate a business in her community.

1(a) Reasons to establish her own business

(a) State FOUR reasons why Jane would want to establish her own business. (4 marks)

Four reasons why Jane would want to establish her own business are:

- To be her own boss, so that she can make her own decisions about how the business is run rather than having to follow instructions from another employer.
- To earn profits for herself, because as the owner she keeps the money the business makes after costs are paid, instead of receiving only a fixed wage.
- To use her own skills and ideas from Principles of Business to turn a hobby or talent into a source of income that she controls.
- To create employment for members of her community and contribute to the development of the area where she lives.

1(b) Characteristics of a successful entrepreneur

(b) List THREE characteristics Jane would need to possess in order to become a successful entrepreneur. (3 marks)

- Risk taking, because she must be willing to invest her own money and time in the business without a guarantee that it will succeed.
- Creativity and innovation, so that she can come up with fresh ideas for products, services and ways of attracting customers in her community.
- Self-confidence and determination, which will help her to keep going when the business meets challenges and to make firm decisions under pressure.

1(c) Reasons to conduct a feasibility study

(c) State THREE reasons why Jane should conduct a feasibility study prior to establishing her business. (3 marks)

- To find out whether there is enough demand for the product in her community before she spends money setting up.
- To estimate the start-up costs and the likely sales, so she can see whether the business will be profitable.
- To produce evidence that she can show to a bank or investor when she applies for a loan or other financing.

1(d) Roles of stakeholders in Jane's business

(d) State ONE role of any TWO stakeholders that will be involved in Jane's business. (4 marks)

Customers

The role of customers is to buy the goods or services that Jane offers and to provide her with the sales revenue that keeps the business running. Their feedback also helps Jane to improve her products.

Employees

The role of employees is to carry out the day-to-day work of the business, such as serving customers, making the products and keeping records, in exchange for the wages that Jane pays them.

1(e) Social and economic contribution

(e) Explain TWO ways in which Jane's business could contribute to the social and economic development of her country. (6 marks)

Job creation and reduction of unemployment

By hiring workers from her community, Jane provides jobs that allow people to earn a steady income, support their families and improve their standard of living. As more people are employed, fewer have to depend on government assistance, and crime levels linked to unemployment may also fall, which improves social conditions in the country.

Generation of tax revenue and supply of needed goods

Jane's business will pay taxes such as income tax and General Consumption Tax to the government, which can then be spent on schools, roads and health services that benefit everyone. At the same time, by supplying goods or services that residents need, the business reduces the need for imports and helps the local economy to grow.

Question 2

2(a) Importance of proper documentation

(a) State THREE reasons why it is important for a firm to have proper documentation in all of its business transactions. (3 marks)

- Proper documents provide written evidence of every transaction, which can be used to settle disputes between the firm and its customers or suppliers.
- They allow the firm to keep accurate financial records, so that the accountant can prepare reliable accounts and the manager can plan future spending.
- They are required by the tax authority and by auditors as proof of income and expenses, so the firm can meet its legal obligations.

2(b) Purpose of business documents

(b) Outline the purpose of EACH of the following types of business documents.

(b)(i) Pro forma invoice

(i) Pro forma invoice (2 marks)

A pro forma invoice is a document sent by a seller to a buyer before goods are supplied, showing the description of the goods, the price, the terms of payment and the expected delivery details. Its purpose is to let the buyer know exactly what the goods will cost so that he can arrange payment, finance or import permission before the actual sale takes place.

(b)(ii) Purchase requisition

(ii) Purchase requisition (2 marks)

A purchase requisition is an internal document sent from a department in the business to the purchasing department, requesting that certain goods or materials be ordered from suppliers. Its purpose is to give the purchasing officer formal authority to place an order and to provide a written record of what has been requested, by whom and for what use.

2(c) Non-life insurance policies

(c) List THREE types of non-life insurance policies. (3 marks)

- Motor vehicle insurance, which covers loss or damage to vehicles and injuries caused by accidents on the road.
- Fire insurance, which covers loss or damage to buildings, stock and equipment caused by fire.
- Property or burglary insurance, which covers loss of business property due to theft or break-in.

2(d) Principles of insurance

(d) Describe TWO principles upon which insurance is based. (4 marks)

Utmost good faith

This principle requires the person taking out the policy to disclose all important information truthfully when applying. For example, the insured must tell the insurance company about any past claims or known risks. If the insured hides material facts, the insurance company can refuse to pay when a claim is made.

Indemnity

This principle states that insurance is intended only to put the insured back in the financial position he was in just before the loss, and not to allow him to make a profit from the loss. So if a fire damages stock worth fifty thousand dollars, the insured can only claim up to that amount even if the policy was for a higher sum.

2(e) Insurance to lower business risks

(e) Explain TWO ways in which insurance could be used to lower the risks associated with business. (6 marks)

Protection against loss of physical assets

By taking out fire, theft and motor insurance, a business transfers the financial risk of damage or loss of its buildings, stock, equipment and vehicles to the insurance company. If a fire destroys the warehouse or

a delivery truck is stolen, the insurer pays compensation, and the business can replace the assets and continue trading instead of facing huge losses that might force it to close.

Protection against legal claims and loss of income

Public liability insurance covers the business if a customer or member of the public is injured on its premises and decides to sue, while business interruption insurance pays for income lost while the business is closed because of an insured event such as a fire. These policies stop one bad incident from wiping out the firm's profits, and they also give the owners peace of mind so that they can focus on running the business.

Question 3

3(a) Public relations

(a) (i) Define the term 'public relations'. (2 marks); (ii) Identify TWO types of public relations activities that are popular in the Caribbean. (2 marks)

(a)(i) Definition

Public relations refers to the planned activities that a firm carries out to build and maintain a good image and a positive relationship with its customers, employees, the government and the wider public. It is concerned with how the firm is seen and talked about, rather than with directly selling a product.

(a)(ii) TWO popular public relations activities in the Caribbean

- Sponsorship of sporting events, school competitions and cultural festivals such as Carnival or Independence celebrations.
- Charitable activities such as back-to-school drives, hurricane relief donations and community clean-up campaigns.

3(b) Public relations and communities

(b) Outline TWO ways in which the public relations activities of a firm could benefit communities. (4 marks)

Provision of resources and services to local people

When a firm sponsors a school feeding programme, donates books to a library or builds a sports facility, it directly improves the quality of life of people who live near the business. Children and families gain access to resources they might not have been able to afford on their own.

Support for community development and skills

Public relations activities such as offering training workshops, internships or career talks to young people give community members new skills and exposure to the world of work. This helps to raise the level of education and employability in the area, which benefits the community for many years.

3(c) Factors influencing consumer behaviour

(c) Describe THREE factors that influence consumer behaviour. (6 marks)

Income level
The amount of money a consumer earns or has available to spend has a strong effect on what is bought and how often. Higher-income consumers can afford branded goods, larger quantities and luxury items, while lower-income consumers usually buy cheaper brands, smaller pack sizes and only what is essential.

Taste, fashion and culture
What is in style and what is regarded as acceptable in a person's culture also shapes buying decisions. For example, fashion trends among young people, religious beliefs about food and Caribbean cultural preferences in music and dress all affect which products consumers will choose.

Advertising and promotion
The information consumers receive through television, radio, billboards and social media advertising influences which brands they trust and remember. Sales promotions such as discounts, free samples and bonus packs can also encourage consumers to switch brands or to buy more than they had planned.

3(d) Government protection of consumers

(d) Explain TWO ways in which a government can protect consumers through its consumer organizations. (6 marks)

Setting and enforcing standards for goods and services
Through bodies such as the Bureau of Standards, the government can lay down rules about the quality, labelling and safety of products being sold. Inspectors test goods like food, electrical items and children's toys, and they can ban or recall products that are unsafe. This protects consumers from being harmed by faulty or dangerous items in the marketplace.

Investigating complaints and educating the public
Consumer affairs departments and Fair Trading Commissions investigate complaints from shoppers about overcharging, misleading advertising and poor service. They can order businesses to refund customers, fine offenders or take them to court. They also run consumer education campaigns through the media that teach citizens about their rights, so that consumers can recognise and avoid being cheated.

Question 4

4(a) Definitions

(a) Define EACH of the following terms. (i) Logistics (2 marks); (ii) Supply chain operations (2 marks)

Logistics
Logistics is the part of business management that plans and controls the movement and storage of goods, services and information from the point of supply to the point of consumption. It includes activities such as transportation, warehousing, inventory control, packaging and order processing, all aimed at making sure that the right products reach the right customers at the right time and at the lowest possible cost.

Supply chain operations
Supply chain operations are the connected activities involved in producing and delivering a product, starting with the supply of raw materials, moving through manufacturing and warehousing, and ending

with the delivery of the finished product to the final customer. They cover the relationships between suppliers, manufacturers, distributors, retailers and customers, so that goods flow smoothly through every stage.

4(b) Bill of lading vs airway bill

(b) State TWO differences between a 'bill of lading' and an 'airway bill'. (4 marks)

Mode of transport

A bill of lading is the document used when goods are sent by sea, on a ship, while an airway bill is used when goods are sent by air, on a cargo plane.

Document of title

A bill of lading is a document of title, which means that whoever holds the original bill of lading has the right to claim the goods at the port of arrival, and it can be transferred to another person. An airway bill is not a document of title; the goods are simply released to the named consignee on arrival, and the airway bill cannot be used to transfer ownership.

4(c) Roles of transportation in marketing

(c) Outline THREE roles of transportation in the marketing of goods. (6 marks)

Moving goods from producers to consumers

Transportation carries finished goods from the factory or farm to wholesalers, retailers and final consumers, sometimes across long distances. Without reliable transport, products would not reach the people who want to buy them, no matter how good the marketing campaign.

Widening the market

Good road, sea and air transport allow a firm to sell its goods well beyond its local area, including in other islands and overseas. This larger market means more customers, higher sales and the chance to take advantage of large-scale production.

Preserving the quality and value of goods

Specialised transport such as refrigerated trucks for ice cream and meat, or careful handling for fragile electronics, keeps goods in good condition until they reach the consumer. This protects the brand image and supports the price the firm can charge.

4(d) Distributing bananas from the Caribbean to the USA

(d) Explain TWO problems an agricultural firm may face when distributing bananas from the Caribbean to the USA. (6 marks)

Perishability and the need for cold chain transport

Bananas are highly perishable and continue to ripen quickly once they are picked. Moving them all the way to the USA means they must be kept in temperature-controlled containers throughout the journey by truck, ship and onward delivery. Any breakdown in the cold chain, delays at the port or rough handling can cause the fruit to over-ripen or spoil before it reaches supermarket shelves, leading to heavy losses.

Trade barriers, regulations and high freight costs

The USA has strict rules on the quality, size and pesticide residues of imported bananas, and the firm must obtain the correct phytosanitary certificates and meet customs requirements. On top of this, ocean freight, port fees and insurance costs are high, especially during the hurricane season when shipping schedules can be disrupted. These extra costs and delays make it difficult to compete on price with bananas grown closer to the USA.

Question 5

5(a) CARICOM

(a) (i) State TWO functions of the Caribbean Community (CARICOM). (2 marks); (ii) State TWO benefits Caribbean countries may enjoy as members of CARICOM. (2 marks)

(a)(i) TWO functions of CARICOM

- To promote economic integration and cooperation among member states, including the operation of the Caribbean Single Market and Economy (CSME).
- To coordinate the foreign policy of member states and to provide common services and functional cooperation in areas such as health, education and disaster response.

(a)(ii) TWO benefits of CARICOM membership

- Free movement of goods, services, capital and certain categories of skilled workers among member countries, which expands the market for businesses and employment opportunities for citizens.
- Stronger bargaining power as a group when negotiating trade agreements with larger economies such as the USA, Canada and the European Union.

5(b) Foreign direct investment

(b) Define the term 'foreign direct investment' (FDI). (2 marks)

Foreign direct investment, or FDI, is investment made by a person or company from one country into business operations located in another country, where the investor takes a lasting ownership interest and a meaningful degree of control. Examples include a foreign company building a hotel, opening a factory or buying a controlling share in a local firm in the Caribbean.

5(c) Reasons foreign businesses invest in the Caribbean

(c) State FOUR reasons why foreign businesses may be willing to invest in the Caribbean region. (4 marks)

- The Caribbean offers attractive natural resources and tourism assets, such as warm climate, beaches and oil and gas in some countries, which support profitable industries.
- Governments in the region offer tax incentives, free zones and duty concessions that lower the cost of doing business.

- Caribbean countries have relatively well-educated, English-speaking workers whose wages are lower than in North America and Europe.
- The region has political stability, established legal systems and access to large export markets through trade agreements with the USA, Canada and the EU.

5(d) Human resource development and CARICOM problems

(d) Outline TWO ways in which human resource development could assist in reducing the economic problems of CARICOM countries. (4 marks)

Improving productivity through training and education

When governments and firms invest in training programmes, technical and vocational courses and university education, workers gain new skills that allow them to produce more output of better quality in the same time. Higher productivity makes Caribbean firms more competitive, supports higher wages and reduces the need to import skills from abroad.

Reducing unemployment and dependence on a few industries

By developing skills in areas such as information technology, agro-processing, renewable energy and creative industries, human resource development opens up new types of jobs for citizens. This reduces unemployment and lowers the region's dependence on a small number of traditional industries such as tourism and sugar, making the economies less vulnerable to shocks.

5(e) Technology in shoe manufacturing

(e) Explain TWO ways in which a local shoe manufacturing firm can use technology to boost its production levels. (6 marks)

Use of computer-aided design (CAD) and automated cutting machines

With CAD software, designers can create and adjust shoe designs on a computer in a fraction of the time it would take to draw and prototype them by hand. Connected to automated cutting machines, the same designs can be cut from leather or fabric quickly, accurately and with less waste. This speeds up the development of new styles and increases the number of shoes the factory can produce each day.

Use of assembly line robotics and inventory management systems

Installing semi-automated stitching machines and robotic equipment on the assembly line allows shoes to be put together faster and with fewer mistakes than purely manual work. At the same time, computerised inventory and production management systems track raw materials, work-in-progress and finished goods in real time, so the firm avoids running out of supplies and can plan production runs more efficiently. Together, these technologies raise total output and lower unit costs.